

DEQUAD — Risk Register

Supporting Appendix — Investors Innovator Founder Visa Submission

Purpose. Investors may request a standalone risk register alongside the business plan. This document enumerates the 16 most material risks identified by the founders, scores each on a 1–5 scale for both Likelihood and Impact, gives the resulting Risk Score (Likelihood × Impact), states the chosen mitigation, and names the risk owner.

Reviewed: monthly by the founders; quarterly by the (future) board once the pre-seed round closes.

How the scoring works

Score	Likelihood	Impact
1	Rare (< 5% within forecast)	Negligible (< £2k or no functional impact)
2	Unlikely (~ 10%)	Minor (£2k–£10k or short-term operational disruption)
3	Possible (~ 25%)	Moderate (£10k–£50k or 1-month delay)
4	Likely (~ 50%)	Major (£50k–£200k, key hire lost, partial loss of customer trust)
5	Almost certain (> 75%)	Critical (existential, regulatory action, safeguarding incident)

Risk score traffic-light:

- **16–25** — actively managed each week; board-visible.
- **9–15** — actively managed each month.
- **4–8** — managed quarterly.
- **1–3** — accepted; reviewed annually.

Risk register

#	Risk	Category	Lk	Im	Score	RAG	Owner	Mitigation in place / planned
R1	First paid university pilot fails to convert before Sep Y1 — pre-seed bridge slips	Commercial	3	5	15	●	CEO	3 LOIs in parallel (London, Birmingham, Manchester); ICB pilot conversation in parallel; founders pre-committed to fund any 4-week slip personally; warm intros via NatWest network shorten cycle.
R2	Co-founder formal appointment delayed past incorporation	Team	3	5	15	●	CEO	Candidate identified, term sheet drafted; founder agreement signed; CEO covers Y1 technical work alone if hire slips by < 90 days; backup engineering contractor identified.
R3	Pre-seed bridge fails to close in Sep Y1	Capital	2	5	10	●	CEO	Two parallel investor tracks: (a) Envestors angel network, (b) NatWest Accelerator demo day Q3 Y1. Founder personal-savings buffer covers 3-month extension. Fall-back: Innovate UK Smart Grant submitted Q2 Y1 (~£30k).
R4	Safeguarding incident — false	Product / Clinical	3	5	15	●	CEO	Human-in-the-loop review for all high-

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	negative (failure to flag a real risk signal)							risk flags within 1h; clear in-app crisis-escalation path (Samaritans, 999, university DSL); £1m professional indemnity insurance; clinical advisory board recruitment underway (Q2 Y2 target).
R5	Safeguarding incident — false positive that harms a student (e.g. wrong escalation)	Product / Clinical	3	4	12	●	CEO	Two-step DSL confirmation before any disclosure outside the platform; full audit log; student "appeal" route surfaced in-product.
R6	Online Safety Act 2023 non-compliance or ICO enforcement	Regulatory	2	5	10	●	CEO	OSA risk assessment & reporting flows already shipped (Appendix I); ICO DPIA drafted (Appendix E); legal review via NatWest Mishcon panel; quarterly compliance review with external counsel.
R7	Cybersecurity breach (PII / mood-data leak)	Security	2	5	10	●	CTO	Cyber Essentials certification in progress; mood data stored separately from identity data; encryption-at-rest; secrets vault; bug-

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								bounty programme post-seed; penetration test scheduled Q2 Y2.
R8	Togetherall / TalkCampus copy the .ac.uk verification feature	Competitive	3	3	9	●	CEO	First-mover positioning on universities; safeguarding webhook + insights dashboard are deeper moats than email-domain logic alone; signed exclusivity clauses with first 5 paying universities.
R9	Large incumbent (Microsoft, Meta, Pearson) launches a competing student-only network	Competitive	2	4	8	●	CEO	Niche depth (safeguarding triage + ICB integration) is unattractive to a horizontal incumbent; build defensible university relationships and data network effects first.
R10	University buyer (Director of Student Services) treats DEQUAD as line-item rather than strategic	Commercial	3	3	9	●	CEO	Position alongside OfS statutory MH condition and UUK Charter so the budget conversation is with the VC or Deputy VC, not just Student Services.

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R11	Cost-of-living squeeze suppresses DEQUAD Premium uptake	Demand	4	2	8	●	CEO	B2B revenue covers fixed cost base; premium is upside. £4.99/mo price-point already at lower bound of student tolerance.
R12	LLM provider price spike (OpenAI / Anthropic) materially raises COGS	Vendor	3	2	6	●	CTO	Multi-provider abstraction (Emergent integrations) in place — can swap providers in < 1 day; tier-down to smaller / open-source model for low-risk classification tasks.
R13	Negative national PR from a misreported case or social-media pile-on	Reputation	2	4	8	●	CEO	Reactive PR plan with NatWest-provided agency on retainer (post-seed); clear transparency policy; clinical advisory board to provide third-party voice.
R14	Key engineering hire leaves in Y2	Team	2	3	6	●	CTO	EMI options with 4-year vest + 1-year cliff; documentation and pairing culture; contractor pool identified for emergency cover.
R15	Tighter UK immigration regime restricts future hires	Regulatory	3	2	6	●	CEO	Both co-founders already UK-resident; first 12 hires are UK-only; secure sponsor licence once headcount > 10.

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R16	Founder burnout (working without salary for 6 months)	Team / Personal	3	3	9	●	Both founders	Strict M8+ founder salary draw; mandated weekly off-day; mentor check-ins through NatWest Accelerator; personal-savings runway calculated and disclosed.

Risk dashboard — Year 1 focus

The seven highest-scoring risks define the Year-1 management agenda:

Risk	Active monitoring
R1 — First-pilot conversion	Weekly pipeline review with CEO; pilot-to-paid forecast updated each Friday.
R2 — Co-founder appointment	Term sheet + commencement date frozen by end M2.
R3 — Pre-seed bridge timing	Investor pipeline reviewed fortnightly; data-room kept current.
R4 — Safeguarding false negative	Sample of flagged + un-flagged cases reviewed each week by CEO + clinical advisor (informal until Q2 Y2).
R5 — Safeguarding false positive	Same review cadence as R4.
R6 — Regulatory compliance	Quarterly review with legal counsel (via NatWest Mishcon panel).
R7 — Cyber breach	Monthly secrets-rotation; quarterly dependency audit.

Risks accepted (●)

The founders have accepted (and disclosed to Envestors) the following lower-priority risks without active mitigation in Year 1:

- **R-A1** Foreign-exchange exposure on USD-denominated cloud bills — accepted: < 10% of COGS.
 - **R-A2** Personal liability for limited director duties — accepted with standard D&O insurance to be in place post-seed.
 - **R-A3** Domain-name / trademark dispute with similar-name companies — accepted; full UKIPO and EUIPO trademark searches completed pre-incorporation; no conflicts found.
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Governance

- **Monthly:** Founders review the full register; update RAG scores; surface new risks; close mitigated risks.
 - **Quarterly:** External advisor (NatWest Accelerator programme manager) reviews the register and challenges any rosy scoring.
 - **Post pre-seed (Sep Y1):** Risk register becomes a standing board paper.
 - **Post seed (Q2 Y2):** Independent non-executive director appointed to chair an audit & risk sub-committee.
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